The Rise and Fall of the Bretton Woods System

Week 7a

Wednesday . . .

- Determine your group's country
- Find a monetary news
- Think if you could answer one of the questions in relation to the news

1. What motivates governments to take particular policies in relation to trade, investment and monetary arrangements?

2. Are certain policies better than others for a country?

3. Is there a hegemonic shift in international economic relations?

4. How can we improve the international financial, trade or investment system?

- Or any other topics in relation to chapters 10-13 (particularly 12 and 13)

- First assignment is due by next Wednesday (25th October)

Trends

- Classic Gold Standard – 19th century - the end of the WWI
  - Fixed exchange rate
  - British Pound as supplementary currency (reserve, transaction and intervention currency)

- Inter-war period: Great Depression
  - Protectionism – in part due to the rise of leftist parties in Europe, in favour of domestic control
  - Floating exchange rate
  - "beggar-thy-neighbour policies" – made the depression last longer

- Bretton Woods System: WWII-1970s
  - Fixed exchange rate but some flexibility to ease government's burden
  - Exchange controls

- Interdependence and globalisation 1980s –
  - Neo-liberalism 1980s-2008? and still on?

Bretton Woods System - design

- Fixed-but-adjustable exchange rates – stability
  - central parity for its currency against gold but could change when facing a fundamental disequilibrium (never precisely defined)
  - dollar standard gradually replaced gold standard 35$ = 1 oz

- Capital controls – **open in principle** but some allowances to ensure imbalances remain small and developed slowly
  - Government could limit international capital flows
  - To control short-term speculative movements of capital
  - IMF agreement on capital control: governments could restrict the convertibility of their currency for capital-account transactions
  - Tight control until the late 1970s

- Stabilisation funds – to enable governments to maintain fixed exchange rates in the face of small imbalances of payments
  - Credit mechanism consisting of a pool of currencies contributed by member countries
  - Each country was assigned a share of the total fund (quota)

Bretton Woods System - IMF

- IMF – to ensure that governments did not abuse the system
  - To monitor member countries' macroeconomic policies and BoP positions
  - To decide when devaluation was warranted
  - To manage the stabilisation fund
    - Conditionality – measures to correct BoP deficit
  - Preventing. . .
    - Competitive devaluations
    - Abuse of the stabilisation fund

Bretton Woods System - Implementation

- Initial Dollar Shortage
  - European countries had very small foreign exchange reserves
    → unwilling to make their domestic currencies freely convertible
    → could result in a run on a country's reserves

- US balance-of-payments (capital account) deficit to provide reserves to Europe
  - Marshall Plan (1947-1952) – foreign aid and military expenditure
  - European countries used dollar as reserve to pay for imports from the US and other countries

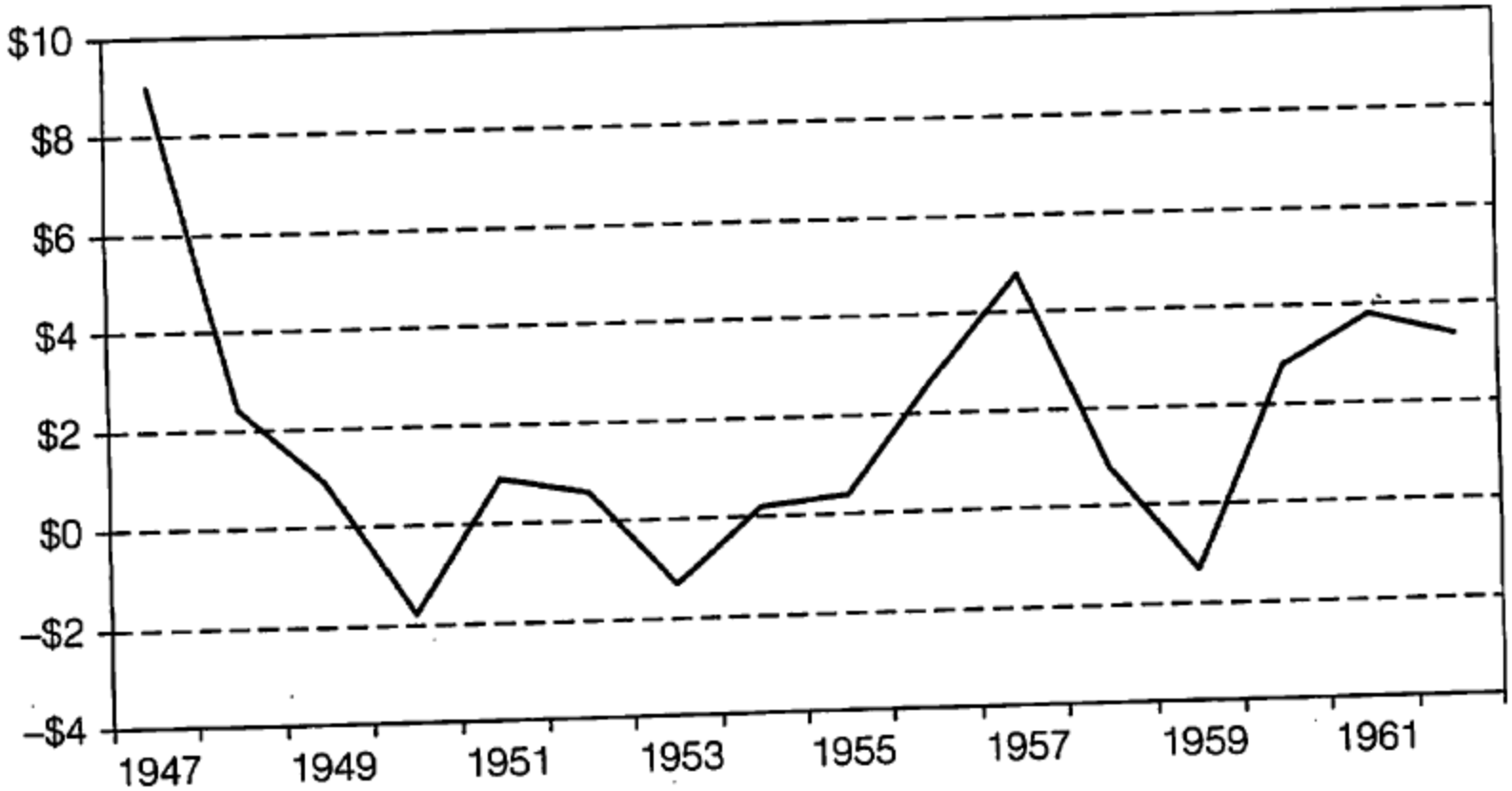

FIGURE 2.1 Balance on Current Account (Balance of Payments) of the United States, 1946–1962, in Billions of Current Dollars

SOURCE: *Economic Report of the President 1989* (Washington, D.C.: U.S. Government Printing Office, January 1989), pp. 424–425.

- Spero and Hart 2010, 18

Implementation and BoP

- Bretton Woods system implemented in 1959
  - US$ became the system's primary reserve asset (reserve, transaction and intervention)

    → Dollar glut during the 1960s

  - Growing BoP deficits (Vietnam, welfare, public financing through expansionary macroeconomic policy)

    → US unable to exchange dollar to gold

Problems and dilemma

- Dollar over-hang:

	1948	1959	1970
Foreign $ holdings	$7.3b.	$19.4b.	$47b.
US gold holdings	$24.8b.	$19.5b.	$11b.

- Dilemma:
  - dollar overhang would undermined fixed exchange rates
  - reducing circulation of dollar reduces liquidity in the system → could trigger global deflation
    - French criticism: "US could run deficits as long as other governments were willing to accumulate dollars" → resulted in imperialistic policies by the US.

  - Creation of SDR – to supplement dollars as a source of liquidity
    - First allocated in 1970
    - But Bretton Woods system collapsed and never played an important role

Bretton Woods system - collapse

- International efforts in the early 1970s failed . . .
  - August 15 1971 – Nixon withdrew from convertibility of dollar to gold
  - Smithonian agreement (Dec. 1971) – 10% devaluation of dollar to gold + realignment of other exchange rates + greater flexibility (±2.25% parity)
  - 1972 Committee of Twenty (within IMF)

- . . . due to disagreements on who should bear the costs of the adjustments
  - Devaluation of dollar against gold – but other countries will also devalue
  - Revaluation of other currencies – burden will fall on other countries excl. US
  - Economic contraction in the US – US unwilling: 'it's caused by Japan and Germany's surplus not by US deficit'
  - Economic expansion in other countries – showed limited support
    - Supporting dollar threatened Germany with inflation: Germany preferred to keep domestic autonomy

- . . . + Oil shock
- Eroding confidence – frequent speculative attacks in the 1970s
- Fixed exchange rates abandoned in 1973

Petrodollar Recycling

- Oil shock in 1973
  - Oil Price (per barrel) $2 → $11 (1974); $13(1979); $30(Aug. 1980); $34(Oct. 1981)
- Large current account surplus by oil-producing states
  (CA surplus of the oil producing states: 1974 – $70b. ; 1980 - $114b.)
- Could not be channelled back to the oil-consuming countries through the import of goods and services
- Surpluses recycled . . .
  - primarily through private banks (after 1974)
  - also through government securities, direct loans and investments, IMF and WB (multilateral) loans
  - lent to oil-consuming countries: rapid accumulation of foreign debt in developing countries
- Many developing countries that could not pay → debt crises in the 1980s.

A side story – IMF Second Amendment . . .

- Committee of Twenty could not work out a plan
  - Float + oil crisis + inflation
- Nov. 1975 G-7
  - US, UK, France, Germany, Japan, Italy + Canada (1976)
- Second Amendment to the Articles of Agreement of the IMF
  - SDRs as the principal reserve asset
    - SDR created in 1968
      - To be used for international settlements between central banks
      - Jointly managed by G-10
      - but only $6b. ($100b. Total reserve in 1970)
  - Greater IMF surveillance of the exchange rate system